DIY GUIDE · NUMBER 04 OF 04

How You Can Save $94,000 Over the Life of Your Florida Mortgage

A complete playbook for Florida home financing - every loan product, every rate trap, every predatory practice the industry quietly relies on borrowers not understanding.

PRESENTED BY

OLGA BLACKBURN

FOUNDER · BLACKBURN REALTY GROUP

A DIVISION OF THE KEYES COMPANY · EST. 1926

Florida Welcomes You.

FIRST, READ THIS.

Before you sign the loan.

You opened this guide because the title promised you could save $94,000 over the life of your Florida mortgage. That number is real. It comes from the difference between the rate borrowers get when they shop properly and the rate they get when they take the first offer.

But here is what this guide is actually about.

Not saving $94,000.

Avoiding the $180,000-$300,000 mistakes that bad mortgage decisions cost borrowers over the life of a Florida loan.

> **WHAT THIS GUIDE REALLY DOES**
>
> *It walks you through every loan product available in Florida, every fee structure, every rate trap, and every predatory practice that costs borrowers tens of thousands in fees and interest they did not know they could negotiate. By the end, you will understand exactly how lenders make money on your loan - and how to make sure that money is not coming from places it should not.*

Most readers, by the final page, will realize they need a mortgage professional who works for them, not for the bank. Blackburn Realty Group partners with Stairway Mortgage for client financing - but this guide is brand-agnostic. The information protects you whether you finance through us or through a competitor.

FOR INTERNATIONAL BUYERS

If you are a non-U.S.-resident borrower, the mortgage landscape gets dramatically more complex. Foreign National loans, DSCR products, ITIN-based qualification, foreign income documentation, and currency conversion all add layers a domestic borrower never encounters. There is essentially no scenario in which an international buyer benefits from applying directly to a retail bank unfamiliar with international borrower products. Your only sensible path is a mortgage broker who specializes in international financing.

CHAPTER 01

The 9 loan products - and the 7 ways borrowers pick the wrong one.

Most Florida borrowers know about three loan types. There are nine.

The 9 main mortgage products in Florida

01. Conventional 30-year fixed - the standard. Best for buyers with US credit, US income, 5%+ down.

02. Conventional 15-year fixed - same as above but shorter term. Higher monthly payment, dramatically less interest paid over life.

03. FHA - government-backed, low down (3.5%). For first-time buyers and those with credit challenges.

04. VA - government-backed, 0% down, no PMI. For military veterans and active duty.

05. USDA - government-backed, 0% down. For rural/suburban properties with limited Florida applicability.

06. Jumbo - for loans above conventional limits (~$766K in most FL counties, higher in some). Stricter qualification.

07. DSCR - for investors. Qualifies based on rental income, not personal income/tax returns.

08. Foreign National - for buyers without US tax returns, US credit, or US residency.

09. Hard Money - short-term, high-interest. For fix-and-flip and bridge only. Avoid for primary residences.

The 7 ways borrowers pick the wrong product

01. Going FHA when they could qualify for conventional - paying lifetime MIP unnecessarily

02. Going conventional 30-year when they could afford 15-year - paying $80,000-$150,000 more in lifetime interest

03. Going to a retail bank that only offers their own products - limited options, higher rates

04. Taking a 7/1 ARM thinking they will refinance later - getting trapped when rates do not cooperate

05. Buying points without doing the break-even math - paying $4,000-$8,000 for a rate reduction that takes 11+ years to pay back

06. Letting the loan officer choose the product - loan officers earn more on certain products

07. Picking the product their friend used - completely different financial situation

A real outcome

A first-time buyer in Tampa was placed in an FHA loan by a retail bank loan officer. The loan amount was $345,000 at 6.875%. Monthly P&I: $2,266. Monthly MIP: $260. Total monthly: $2,526. Over 30 years, that MIP totaled $93,600. The buyer had a 745 credit score and 10% down - she fully qualified for a conventional loan at 6.5% with PMI that would have dropped at 80% LTV (approximately year 7). The conventional loan would have saved her approximately $61,000 over the life of the mortgage. She did not know to ask. Her loan officer did not volunteer it. The retail bank's commission structure favored FHA.

CHAPTER 02

Credit score - the rate tiers that cost you tens of thousands.

Every 20 points of credit score shifts your rate. The math is brutal.

2026 Florida rate tiers (conventional 30-year, approximate)

- Credit 760+: best available rates
- Credit 740-759: +0.125% to +0.25% premium
- Credit 720-739: +0.25% to +0.5% premium
- Credit 700-719: +0.5% to +0.75% premium
- Credit 680-699: +0.75% to +1.0% premium, harder approval
- Credit 660-679: +1.0% to +1.5% premium, may require FHA
- Credit below 660: FHA only, with significantly higher costs

What this looks like in dollars

On a $400,000 loan, the difference between a 760 score and a 700 score is approximately 0.75% in rate. Over 30 years, that 0.75% costs you $61,200 in additional interest payments. Over the life of the loan, that single 60-point credit difference costs $61,200.

WORTH KNOWING

If you are within 30 points of the next tier, pause your home search and spend 60-90 days improving your credit. The rate savings will dwarf any market appreciation you miss. Your buyer's agent and mortgage broker can both advise on the specific actions that will move your score fastest.

CHAPTER 03

Rate shopping - the 14-day window and the 5-lender strategy.

How to compare lenders without damaging your credit, and what to actually compare.

The 14-day rule

FICO treats all mortgage credit inquiries within a 14-day window as a single inquiry. This means you can apply with 5-6 lenders in two weeks with the credit impact of one application. Spread inquiries over 30+ days and each one counts separately.

The 5-lender shopping framework

01. One large national bank (Chase, Wells Fargo, Bank of America)

02. One large national credit union (Navy Federal, Pentagon Federal, or a Florida regional)

03. One independent mortgage broker (often the lowest rates due to wholesale access)

04. One online lender (Better, Rocket, LendingTree comparison)

05. One specialty lender if your situation requires it (DSCR, Foreign National, Jumbo)

What to compare

Compare APR (not just rate), total closing costs, origination fees, lender credits, and the Loan Estimate document. The Loan Estimate is standardized by federal law - it must be apples-to-apples across lenders. If one lender's quote does not include a Loan Estimate, that is a major red flag.

WORTH KNOWING

Never pick a lender based on the rate they quoted by phone. Pick a lender based on the rate they deliver on the Closing Disclosure. The difference between phone quote and closing rate is often 0.5%-1.0% - costing you $40,000-$80,000 over the life of the loan.

CHAPTER 04

DSCR loans - for investors who think they qualify but might not.

What DSCR is, what it costs, and the qualification traps borrowers fall into.

What DSCR means

DSCR - Debt Service Coverage Ratio - measures whether the rental income from a property covers the mortgage payment on that property. A DSCR of 1.0 means rent exactly equals the mortgage. A DSCR of 1.25 means rent is 25% higher than mortgage. Most DSCR lenders require 1.20-1.25 minimum.

Why investors use DSCR

- No personal income verification required
- No personal tax returns required
- No DTI (debt-to-income) calculation
- Property qualifies based on its own rental income
- Available to foreign nationals, self-employed, retirees
- Can be used for properties held in LLCs

What DSCR costs

DSCR rates run 1.0%-2.5% higher than conventional. Down payment is typically 20-25% minimum. Most lenders cap loan amounts at $2M-$3M per property.

The DSCR qualification traps

01. Rent estimate too aggressive - lender's appraiser disagrees, killing DSCR

02. Insurance higher than expected, reducing effective DSCR below threshold

03. HOA fees included or excluded - different lenders calculate differently

04. Vacancy assumption - lender may use a 75% occupancy assumption you did not anticipate

05. Short-term rental properties - Airbnb/VRBO income often discounted heavily

06. Property type - condo or condotel may have different DSCR calculation than SFR

07. Pre-payment penalties common - exit costs you may not have planned for

CHAPTER 05

Foreign National loans - what no one explains until it's too late.

For buyers without US credit, US tax returns, or US residency.

Who qualifies as a foreign national borrower

Not a US citizen, not a permanent resident, does not file US tax returns. Includes investors from Latin America, Europe, Asia, the Middle East, and elsewhere who purchase Florida property without becoming US residents.

Documentation typically required

- Valid passport
- Foreign credit report or 2-3 reference letters from international banks
- Proof of foreign income (employment letter, business documents, accountant letter)
- Bank statements (2-12 months depending on lender)
- Source of funds documentation for down payment
- ITIN (Individual Taxpayer Identification Number) - can be obtained at closing

Typical Foreign National loan terms

- Down payment: 25-35% minimum
- Rate: 1.5%-3.0% higher than conventional
- Loan amount: typically capped at $1M-$3M
- Property types: primary residence, second home, investment
- Reserves required: 6-12 months of mortgage payments in US-based account

> WORTH KNOWING
>
> *Not all lenders offer Foreign National products. Working with a mortgage broker who specializes in international financing is essential. Retail bank loan officers unfamiliar with these products will waste weeks of your time and reach denial. Specialty brokers know exactly which wholesale lenders will fund your specific borrower profile.*

A specific case

A buyer from Sao Paulo found a $1.4M Brickell condo. He spoke decent English and decided to apply directly to a major national bank's mortgage division. He provided foreign tax returns, foreign bank statements, and his Brazilian credit information. The bank processed his application for six weeks before denying him - they were not equipped to underwrite international borrowers and ultimately could not verify his foreign income to their satisfaction. Meanwhile, the seller withdrew from the deal because of the financing delays. He lost the property and his earnest money. He eventually engaged a Foreign National-specialized mortgage broker who placed his loan in 19 days with a different lender. The right specialist would have been the right starting point. By the time he found one, he had wasted three months and lost his original target property.

WHEN YOU ARE READY

Financing in your language, *with the right specialist.*

Stairway Mortgage handles Foreign National, DSCR, and complex international financing. Free consultation in your language. No obligation.

SCHEDULE YOUR FREE CONSULTATION

BLACKBURNREALTYGROUP.COM

Florida Welcomes You.

CHAPTER 06

Closing costs - the 13 fees decoded, and the 4 you can negotiate.

Florida closing costs typically run 2-4% of purchase price. Here is exactly what they are.

Every fee on your Loan Estimate

- Loan origination - lender's fee for processing the loan (negotiable)
- Discount points - optional fee to buy down the interest rate
- Appraisal - required by lender to confirm property value
- Credit report - pulling your credit
- Flood determination - required in many Florida areas
- Title insurance (owner's policy + lender's policy) - protects against title defects (negotiable)
- Title search & examination - confirms ownership and liens (negotiable)
- Escrow fees - held by title company during transaction
- Recording fees - paid to county clerk
- Documentary stamps & intangible tax - Florida state taxes (not negotiable)
- Prepaid items - homeowners insurance, property taxes, first month interest
- HOA / condo transfer fees if applicable
- Underwriting and processing fees (negotiable - often junk fees)

The 4 fees you can always negotiate

01. Loan origination fee - ask for a reduction or full waiver, especially with strong credit

02. Title insurance - Florida is a state where you can shop title companies. Compare 3 quotes.

03. Discount points - only buy points if you will hold the loan 7+ years and the break-even math works

04. Underwriting fee - often a junk fee. Ask the lender to remove or reduce it.

> **FLORIDA CLOSING COST RULE OF THUMB**
>
> *Buyer closing costs typically run 2-4% of purchase price. If your Loan Estimate exceeds 4%, ask line by line where the excess comes from. Most excess is in negotiable categories.*

CHAPTER 07

The 11 red flags of predatory lending.

If you see two or more of these signals, walk away.

01. Lender pressures you to sign quickly, without reviewing documents

02. Rate quoted by phone is dramatically lower than rate on the Loan Estimate

03. Lender asks you to leave blanks on the application 'to fill in later'

04. Fees on the Closing Disclosure differ significantly from the Loan Estimate without explanation

05. Lender steers you to a specific title company, appraiser, or attorney with no choice given

06. Lender adds prepayment penalties without clearly explaining them

07. Adjustable rate mortgage (ARM) is pushed when you qualify for a fixed rate

08. Interest-only or negative amortization features without your explicit understanding of risks

09. Asks you to inflate income, exaggerate assets, or misrepresent occupancy

10. Lender will not provide a Loan Estimate within 3 days of application (legally required)

11. Junk fees like 'document review,' 'application processing,' 'underwriting administration' that no other lender charges

WORTH KNOWING

Predatory lending is not always illegal. It can be legally documented, signed by you, and still cost you tens of thousands over the life of the loan. The protection is not law. The protection is recognizing what is happening before you sign.

A specific case

A buyer in Fort Lauderdale was approved for a conventional 30-year fixed at 6.875%. Two days before closing, his lender called with 'fantastic news' - a special program offered a 5/1 ARM at 5.99% starting rate. The buyer accepted, signed at closing, and felt great about saving $185/month for the first five years. What he did not understand: the ARM adjusts annually after year 5 based on an index that has historically moved 1.5%-3% during typical rate cycles. By year 7, his rate was 8.5%. By year 9, his payment was $620/month higher than the conventional 30-year fixed he had originally been approved for. The total cost over the life of the loan: $147,000 more than the fixed loan. He did not realize he could have stayed with the fixed-rate product. A buyer's agent referring to a vetted mortgage broker would have flagged this. He went directly to the bank.

CHAPTER 08

International borrowers - the rules change completely.

If you are not a US resident, every chapter above becomes more complex and more important.

What changes for international borrowers

- Foreign National loan products - only specialty brokers offer them
- Credit qualification - foreign credit reports, banker reference letters, or no credit at all
- Income documentation - foreign income letters, business documents, accountant verification
- Source of funds - extensive documentation required to satisfy compliance
- Higher down payment requirements - 25-35% minimum vs. 5-20% for domestic borrowers
- Higher rates - typically 1.5%-3.0% above conventional
- Reserve requirements - 6-12 months of payments in US-based account
- ITIN registration - federal tax ID required, takes 4-8 weeks
- International wire compliance - both sides of the wire trigger reviews
- Currency conversion - timing and method affects your effective cost basis
- Tax implications in home country - many borrowers face dual-country tax issues

THE INTERNATIONAL BORROWER'S RULE

Working with a specialty mortgage broker who handles international borrowers is not optional - it is the only path that results in a closed loan. Retail banks decline 75-85% of international borrower applications they accept. Specialty brokers close 70-80% because they place loans with the right lenders for the right borrower profiles. The fee structure is identical. The only difference is whether your loan closes.

WHEN YOU ARE READY

Honest financing.
In your language.

Stairway Mortgage offers Foreign National, DSCR, conventional, and FHA products processed in your language. The first conversation is free, with no obligation.

SCHEDULE YOUR FREE CONSULTATION

BLACKBURNREALTYGROUP.COM

Florida Welcomes You.

THANK YOU

Knowledge is *the first step.*

Whether you act on this guide alone or with one of our 100 bilingual agents at your side, we are honored that you chose us as your resource.

If you would like a complimentary 30-minute consultation in your native language, no obligation, simply visit our website or contact us.

CONTACT
BLACKBURNREALTYGROUP.COM · (305) 555-0100
info@blackburnrealtygroup.com

Florida Welcomes You.